

Ideation Phase - I

Define the Problem Statements

Date	01 March 2026
Team ID	Team 154
Project Name	Insurance Fraud Detection using ML
Maximum Marks	4 Marks

Problem Statement

The automobile insurance industry faces billions of dollars in financial losses annually due to fraudulent claims. Currently, detecting these fraudulent activities relies heavily on manual investigation by claims adjusters. This traditional approach is highly time-consuming, resource-intensive, and prone to human error, which not only allows sophisticated frauds to slip through but also severely delays the payout process for honest policyholders.

Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	An insurance claim investigator	detect fraudulent insurance claims	manual claim checking takes too much time	there are many claims to analyze	frustrated
PS-2	An insurance company	reduce fraud losses	fraud patterns are hard to identify	traditional systems are inefficient	concerned and vulnerable